

West Bengal State Electricity Distribution Co. Ltd. (WBSEDCL) v. M/s Orion Metal Pvt. Ltd.

Supreme Court of India · Two-Judge Bench · 21 August 2019 · (2020) 18 SCC 588; Civil Appeal No. 6547 of 2019 · Civil Appeal No. 6547 of 2019 · **Appeal allowed; High Court (Division Bench) order set aside — the Section 126 assessment restored**

HEADNOTE

All instances of unauthorised use of electricity may not amount to theft, but theft under Section 135 falls within the definition of 'unauthorised use of electricity' under Section 126; hence use through a tampered meter is unauthorised use assessable under Section 126, and the authorities are empowered to make a provisional and final assessment under Section 126(1) even in cases of theft. The Section 126(1) assessment power and the Special Court's Section 154(5) power to determine civil liability are not parallel to or mutually exclusive of each other: where unauthorised use amounts to theft, a Section 126(1) assessment AND a Section 135 criminal complaint may both proceed, with the Special Court determining civil liability under Section 154(5) (any excess deposit being refunded). Proof for the Section 126(1) assessment need only meet the civil standard; proof beyond reasonable doubt and mens rea are required only for the Section 135 criminal charge.

HOLDING-UNITS

INTERPLAY · EA2003::126

Theft (s.135) is a subset of unauthorised use (s.126); a s.126 assessment is available even in theft cases

QUESTION

Can a Section 126 assessment be made where the unauthorised use amounts to theft (e.g. by meter-tampering)?

HOLDING

Yes. All instances of unauthorised use may not amount to theft, but theft under Section 135 falls within the definition of 'unauthorised use of electricity'; use through a tampered meter is therefore unauthorised use assessable under Section 126(6)(b)(iii). The authorities are empowered to make a provisional and final assessment under Section 126(1) even in cases where electricity is unauthorisedly used by way of theft. ¶ para 12

LIMITING FACTS

On inspection of a bulk HT consumer (1450 KVA), abnormal current was found at the PT secondary wires and foreign material inside the TTB, treated as theft by meter-tampering; the meter was seized, a Section 126(1) provisional assessment of ~Rs. 13.41 crore was made for un-metered consumption, and a criminal complaint (with charge-sheet) was lodged.

INTERPLAY · EA2003::154

The Section 126 assessment and the Special Court's Section 154(5) civil-liability determination are not parallel/mutually exclusive — both may proceed

HOLDING

The Section 126(1) assessment power and the power to determine civil liability under Section 154(5) are not parallel to each other; the High Court erred in holding the two proceedings cannot operate parallelly. Where there is no theft (only unauthorised use), the loss is assessed under Section 126(1) alone; where the unauthorised use amounts to theft, a Section 126(1) assessment AND a Section 135 complaint may both proceed, with the Special Court determining civil liability under Section 154(5) and any excess deposit refunded. Merely because the Special Court is empowered to determine civil liability under Section 154(5) does not mean the authorities lack power to make a Section 126 assessment. ¶ para 14

INTERPLAY · EA2003::135

Proof standard: civil for s.126 assessment, beyond reasonable doubt + mens rea for s.135 theft

HOLDING

To prove theft in a criminal proceeding the case must be proved beyond reasonable doubt with mens rea established; such strict proof is not necessary for assessing liability under Section 126(1), which requires only civil proof. ¶ para 14

PRINCIPLE TAGS

126-vs-135-distinct-fields Theft (s.135) is a subset of unauthorised use (s.126); a s.126 assessment is available even in theft cases, requiring only civil proof (not proof beyond reasonable doubt/mens rea), and does not merge into or get ousted by the Special Court's s.154(5) civil-liability jurisdiction — both may run in parallel. Applies and extends Seetaram Rice Mill. Lead authorities: *Executive Engineer (SOUTHCO) v. Sri Seetaram Rice Mill* [43074463]. ¶ paras 12, 14

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Executive Engineer, Southern Electricity Supply Co. of Orissa Ltd. (SOUTHCO) v. Sri Seetaram Rice Mill</i> (2012) 2 SCC 108 [43074463] Supreme Court (3-Judge)	'Unauthorised use of electricity' is not restricted to the Explanation's clauses but has a wider meaning covering all misuse/malpractice; excess load beyond the sanctioned/contracted load is unauthorised use under Explanation (b)(iv).	Followed — theft held to be a subset of the wider 'unauthorised use' concept established in Seetaram Rice Mill. ¶ para 12	Court	Followed
<i>Hotel Adityaz Ltd. v. M.P. Kshetra Vidyut Vitran Co. Ltd.</i> AIR 2016 (NOC) 39 (M.P.) Madhya Pradesh High Court	Theft cases fall only under Section 135, and Section 126 has no application to them.	Distinguished — the view that Section 126 has no application to theft cases was not accepted. ¶ para 12	Respondent	Distinguished

SCJ-042 · West Bengal State Electricity Distribution Co. Ltd. (WBSEDCL) v. M/s Orion Metal Pvt. Ltd. · (2020) 18 SCC 588; Civil Appeal No. 6547 of 2019 · Supply Code Jurisprudence

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